



Preliminary Results
2017/18

Combination of
J Sainsbury plc and Asda Group Limited



Kevin O'Byrne
Chief Financial Officer

Financial highlights

- UPBT £589m – a return to growth
 - H2 UPBT up 11%, with improved food margin trend
- Cost savings and Argos acquisition synergies ahead of plan
- Sainsbury's Bank profits up 11%
- Strong cash generation
 - Free cash flow £432m, up £113m year on year
- Lease adjusted net debt to EBITDAR down to 3.2x vs 3.7x a year ago
 - Net debt down £113m
- Final dividend of 7.1p per share, up 8% year on year
- Comfortable with FY 18/19 UPBT consensus¹

¹ 2018/19 UPBT consensus estimate of £629m, as published on 5 March 2018 on www.j-sainsbury.co.uk/investors/analyst-consensus

Group performance overview

£m	2017/18	2016/17	Change
Underlying results¹			
Group sales (inc VAT)	31,735	29,112	 9%
Retail operating profit	625	626	 0%
Financial Services operating profit	69	62	 11%
Underlying interest costs	119	119	 0%
Profit before tax	589	581	 1%
Underlying basic EPS	20.4p	21.8p	 6%
Dividend per share	10.2p	10.2p	
Statutory results			
Items excluded from underlying results	(180)	(78)	
Profit before tax	409	503	

¹ Full breakdown of definitions set out in the appendix

Retail sales¹

Growth across all channels

▲ **1.3%**

LFL sales growth²

▲ **0.3%**

Sales from
net new space^{2,3}

○ ▲ **1.6%**

Total sales growth^{2,3}

Categories

Grocery

▲ **2.3%**

General
Merchandise

▼ **(0.8)%**

Clothing

▲ **3.8%**

Channels

Supermarkets

▲ **0.5%**

Convenience

▲ **7.5%**

Groceries
Online

▲ **6.8%**

2018/19 FY Guidance

- Expect to open two new Sainsbury's supermarkets and around 15 convenience stores
- Expect to open around 90 Argos stores in supermarkets (of which around 50 are relocations) resulting in around 280 Argos stores in supermarkets
- Expect to close remaining Argos stores within Homebase in 2018/19

1 Including Argos in the base

2 Sales including VAT, excluding fuel

3 Sainsbury's Total Retail sales excluding the impact of the sale of the Pharmacy business

Grocery

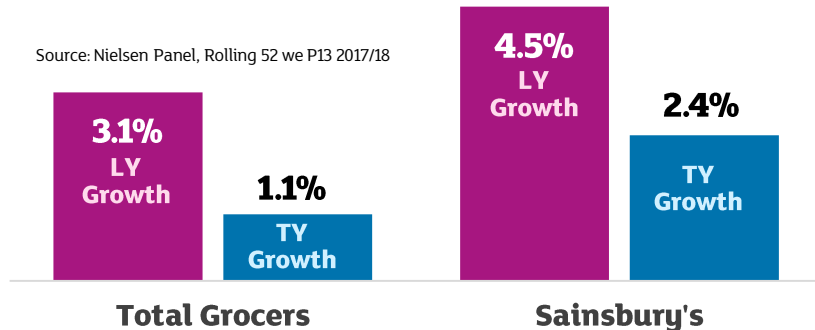
Strong performance

- Improved food margin trend, transaction growth
- Re-launched 128 food ranges
- March 2018 £150m price investment
- Grocer Gold Best for Service and Best for Availability for 5th year
- Proposed changes to the in store operating model

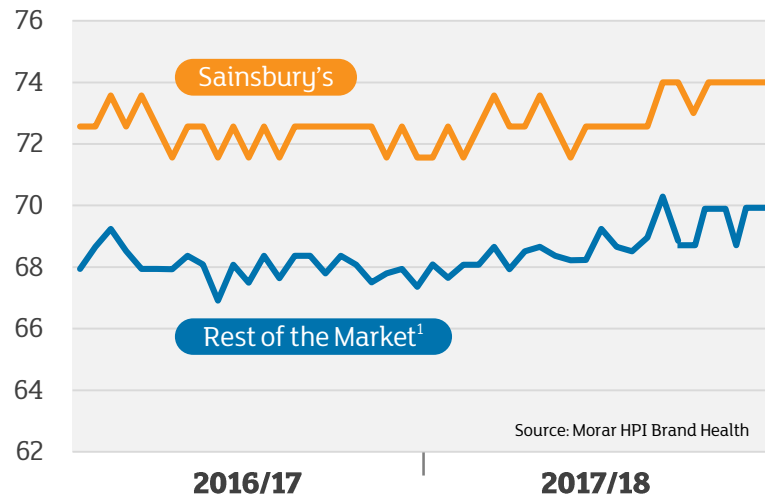
Total Grocery

YOY Transactions Growth % by Retailer

Source: Nielsen Panel, Rolling 52 we P13 2017/18



Product Quality Perception



Source: Morar HPI Brand Health

¹ Rest of the market (ex. Sainsbury's) includes Tesco, Asda, Morrisons, Waitrose, M&S, Aldi and Lidl

General Merchandise and Clothing

Continued market outperformance^{1, 2}

Clothing

- Clothing sales growth of nearly 4%
 - Online growth of 45%

General Merchandise

- Growing ahead of the market¹
- Strong Argos performance in key categories
 - Audio (+39%), Mobiles (+28%), Video Games (+15%)
- Fast Track delivery sales up 28% and Fast Track collection sales up 45%
- Over 40% of Argos sales start on a mobile device
- 191 Argos in Sainsbury's open, 280 by March 2019
 - Strong like-for-like performance

¹ BRC non-food non-clothing market, 52 weeks to 10 March 2018

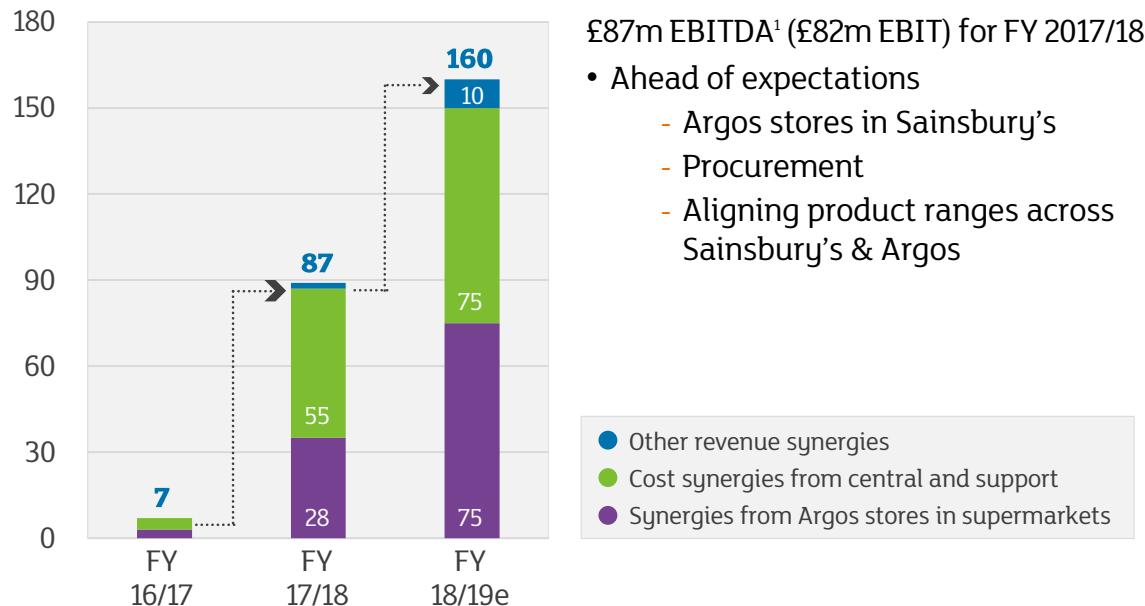
² Kantar worldpanel, 52 weeks ending 18 March 2018



Synergies

Synergies ahead of accelerated plan

Expected EBITDA synergies phasing across financial years (£m)



2018/19 FY Guidance

UPBT impacts

- Incremental EBITDA synergies of £73m (EBIT £60m) will be realised in 2018/19

One-off costs

- Around £30m of integration costs expected in 2018/19

Integration capex

- Around £40m of integration capex expected in 2018/19

¹ Phasing of the one-off integration costs and capex set out in appendix

Sainsbury's Bank

Profit increase primarily driven by consolidation of Argos Financial Services

£m	2017/18 ¹	2016/17 ²	Change
Total income ³	451	347	▲ 30%
Underlying operating profit	69	62	▲ 11%
Cost/income ratio	70%	72%	▼ 200bps
Active customers - Bank	1.92m	1.77m	▲ 8%
Active customers - Argos FS	1.95m	1.84m	▲ 6%
Net interest margin ⁴	4.9%	4.4%	▲ 50 bps
Bad debt as a percentage of lending ⁵	1.3%	0.8%	▲ 50 bps
CET 1 ratio ⁶	14.1%	13.3%	▲ 80bps
Total capital ratio ⁷	17.1%	13.3%	▲ 380bps

Excluding AFS

▼ 30 bps

▲ 30 bps

1 12 months to 28 February 2018

2 12 months to 28 February 2017, including 6 month period of post acquisition Argos Financial Services trading

3 Net interest, net commission and other operating income

4 Net interest receivable / average interest-earning assets

5 Bad debt expense / average net lending

6 Common equity tier 1 capital / risk-weighted assets

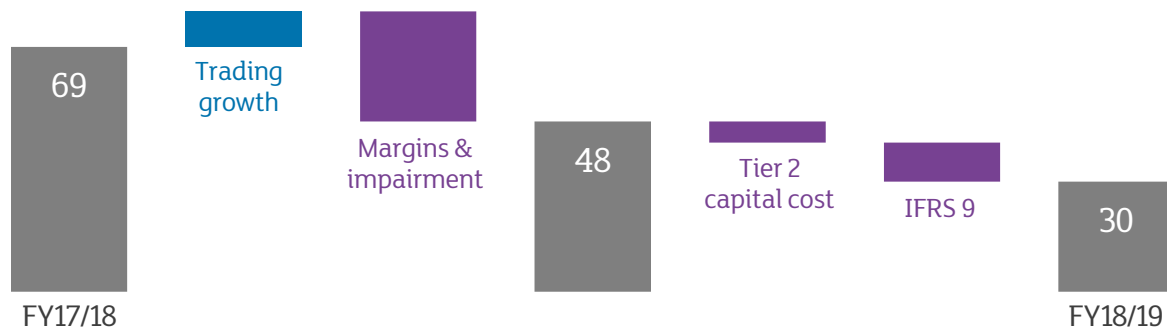
7 Total capital / risk-weighted assets

Sainsbury's Bank

2018/19 FY Guidance

We expect underlying profit to fall to around £30m, driven by:

- Competitive conditions and a cautious approach impacting margins in unsecured lending
- Higher provisions assumed for bad debt as interest rates rise
- Interest costs of Tier 2 capital raised in November 2017 (£9m per year, £6m year on year)
- Additional £11m impairment as a result of IFRS 9 adoption



2018/19 FY Guidance

- Expect underlying profit of around £30m in 2018/19
- Capital injections into the Bank are expected to be £110m in 2018/19. This is to cover card and loan platforms, regulatory capital and growth in loan, card and mortgage balances
- Capital injections into the Bank from 2019/20 onwards to average £100m per year

Balance sheet

Cash flow stronger, net debt and leverage lower

- FCF more than £100m higher year on year at £432m
- Net debt down £113m to £1,364m¹ with adjusted net debt/EBITDAR² down to 3.2x
- RCF refinanced and £568m Eddystone CMBS repaid (post year end)
- Sainsbury's and HRG pension scheme combined
 - IAS 19 pension deficit⁵ £261m (March 2017: £850m)
- Medium term leverage reduction targets
 - Adjusted net debt/EBITDAR less than 3x³
 - Fixed charge cover greater than 3x

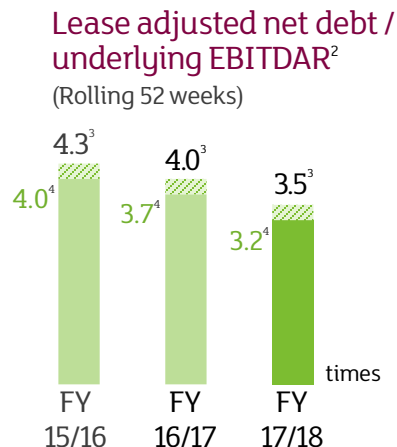
1 Excluding the perpetual securities. Including the perpetual securities net debt is £1,858m

2 Net debt plus capitalised lease obligations (5.5% discount rate) divided by Group underlying EBITDAR

3 Accounting for the perpetual securities as debt

4 Accounting for the perpetual securities as equity (for statutory purposes)

5 Net of deferred tax



2018/19 FY Guidance

- Net debt expected to reduce to by c. £100m
- Net debt reduction over the medium term
- Expect net finance costs of around £100m in 2018/19 following final repayment of the secured loan due 2018

Financial outlook

- Cost inflation around 3%
- Cost savings of around £200m in FY 18/19
- Incremental EBITDA synergies of £73m (EBIT £60m)
- Sainsbury's Bank guiding to reduction in profits next year to around £30m
- Comfortable with FY 18/19 UPBT consensus¹ despite lower bank profits
- Expect net debt reduction of around £100m in FY 18/19
- Expect net finance costs of around £100m

¹ 2018/19 UPBT consensus estimate of £629m, as published on 5 March 2018 on www.j-sainsbury.co.uk/investors/analyst-consensus



Creating a dynamic new player in UK retail

Mike Coupe

The combination

- 1 Dual brand grocery strategy, sharpening distinctive customer propositions
- 2 Asda consolidated on a debt-free, cash-free and pension-free¹ basis
 - Walmart receives 42% equity stake in the Combined business and £2.975bn cash
 - Walmart will hold 29.9% of the combined voting shares
- 3 Walmart will be a long-term partner with two Board seats at completion
- 4 Expect to fast track to CMA phase 2 review, with completion anticipated in H2 calendar year 2019

	Pro forma
Total Sales ²	£51bn
Total Operating Profit ^{2,3}	£1.4bn
Colleagues ⁴	330,000
Total Locations ⁴	2,800

1 Subject to completion of the Combination, Walmart will retain the Asda defined benefit pension scheme as part of the Combination, along with any ongoing defined benefit pension related obligations. The last IFRS reported liability for defined benefit obligations for Asda Group Limited as at 31 December 2016 was £893.5 million

2 Based on the unaudited year ended 31 December 2017 for Asda and the unaudited full year results for the 52 weeks to 10 March 2018 for Sainsbury's. The Asda Group Limited financial information for the financial year to 31 December 2017 is unaudited and subject to change. Revenue figures exclude VAT and include fuel

3 Asda IFRS operating profit of £720m includes c.£80m of charges (2016: c.£75m) which, under the structure of the transaction, will not continue post completion

4 Store and colleague data as at 04 April 2018

The market is more competitive than ever before



A great deal for everyone

More dynamic, more adaptable, more resilient

CUSTOMERS



- ✓ Lower prices
- ✓ Better quality
- ✓ Differentiated ranges
- ✓ More flexible ways to shop
- ✓ Major contributor to the British economy

COLLEAGUES



- ✓ Stronger business
- ✓ More opportunities
- ✓ Greater security for pension holders

SUPPLIERS



- ✓ Greater efficiency
- ✓ Differentiated ranges
- ✓ Opportunity to grow

SHAREHOLDERS



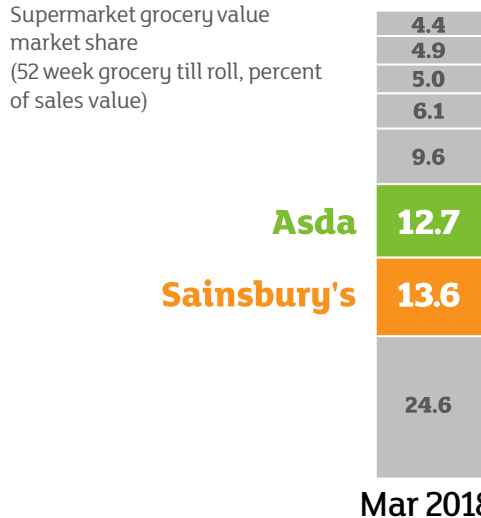
- ✓ Creating value
- ✓ Strong balance sheet
- ✓ Strong cash generation
- ✓ Investment grade credit profile¹

¹ The Combined business is expected to have an investment grade credit profile on completion

Creating a dynamic new player in UK retail

Materially enhanced scale. Strong, differentiated brands serving the widest possible market

Strong grocery market position¹



1 Market share data per Kantar Total Grocery (52 weeks to 25 March 2018)

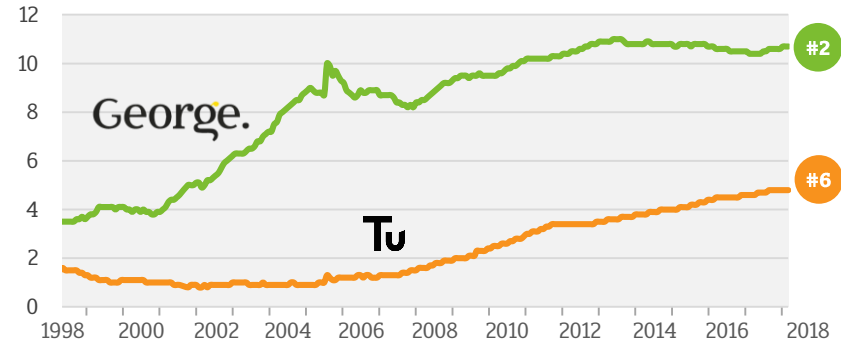
2 Market share data per Kantar as at 11 March 2018

A leading general merchandise retailer

- Unique Argos distribution and logistics model
- Opportunities to open Argos within Asda stores
- Walmart/Asda scale can bring range and lower prices to customers

A leading UK clothing retailer²

Volume share of total clothing (%)



Highly complementary store portfolios

Proportion of grocery stores
(number)



Sainsbury's¹



Areas of strong
Sainsbury's coverage

Asda¹



Areas of strong
Asda coverage

¹ Strong coverage analysis based on Kantar data



A great deal for everyone

Roger Burnley

Overview of Asda

A leading multi-format, omni-channel business with a strong value heritage



**Large scale
national business**



**Multi-format,
omni-channel offering**



EDLP¹ heritage



**Strength in
general merchandise
and clothing**



**Food sourcing
strength**



Walmart support



**Talented
colleagues**

¹ Every Day Low Price

Asda financial overview

Asda has a healthy, strong financial position

Delivering
growth...

4

Consecutive quarters
of positive like-for-
like growth¹

...with healthy
profit margins...

3.5%+

Operating profit
margin²

...and cash flow
generation...

£4bn

Operating cash flow
over the last
3 years³

...with strong
asset backing

75%

Freehold property
estate⁴

1 Q1 2018 calculated based on US GAAP for Broadstreet Great Wilson Europe Limited ("BGWE"), the top UK holding company for Asda Group Limited

2 Operating profit margin calculated as 2017 unaudited IFRS operating profit margin on sales ex. fuel. Operating profit at Asda includes share option and intercompany charges, some of which Sainsbury's believes will not recur following the transaction

3 Net cash flows from operational activities from 2014-2016, source from Asda Group Limited statutory accounts

4 As measured by square footage

Delivering momentum at Asda

Consistent LFL sales growth driven by volume growth in key categories



Accelerate
EDLP¹ credentials



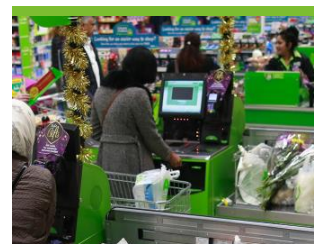
Enhancing the
quality and
value of own
brand food &
George clothing



1st choice
destination for
everyday and
big moments



Further
developing
online and
digital capability



Improving
customer
experience within
a low-cost
operating model

1 Every Day Low Price



A great deal for everyone

Mike Coupe

A great deal for everyone

More dynamic, more adaptable, more resilient

1

Great for CUSTOMERS

Lower prices, better quality, differentiated ranges, more flexible ways to shop

2

Great for COLLEAGUES

Stronger business, more opportunities, greater security for pension holders

3

Great for SUPPLIERS

Greater efficiency, differentiated ranges, opportunity to grow

4

Great for SHAREHOLDERS

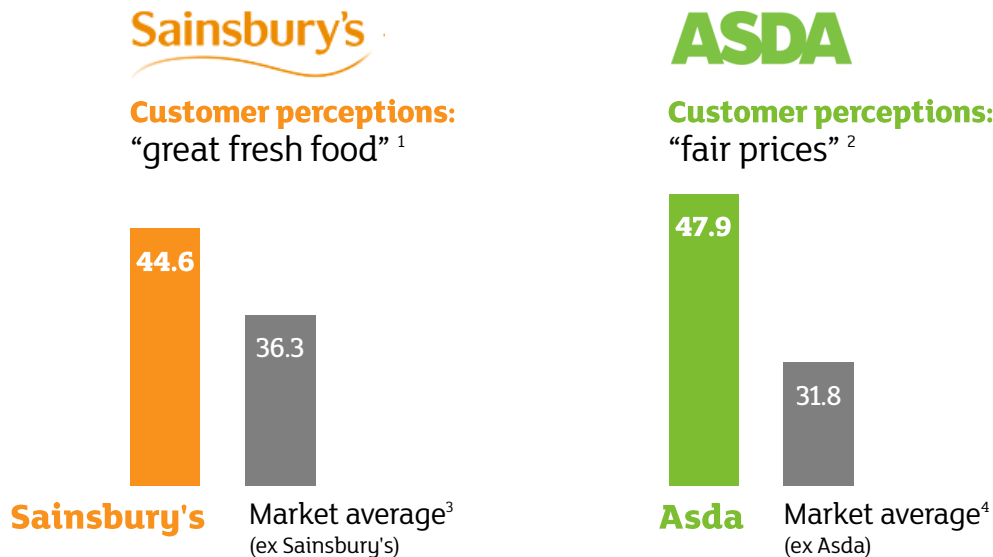
Creating value, stronger balance sheet, strong cash generation

Dual brand strategy, sharpen distinctive propositions

Enhanced ability to invest in the areas that matter most to customers

Investing a substantial proportion of the gross synergy benefits, across the group, in:

- 1 Price
- 2 Quality
- 3 More flexible ways to shop



1 "Great fresh food" perceptions (% agree) - National sample (Nielsen weighting)

2 "Fair prices" perceptions (% agree) - National sample (Nielsen weighting)

3 Market average includes: Tesco, Asda, Morrisons, Waitrose, M&S, Aldi and Lidl

4 Market average includes: Tesco, Sainsbury's, Morrisons, Waitrose, M&S, Aldi and Lidl

More flexible ways to shop

Grocery

- Strong, fast-growing online businesses
- In store technology

Convenience

- Over 800 Sainsbury's Local convenience stores
 - Track record of growth
 - Market-leading sales densities



General Merchandise & Clothing

- Argos: A tech-led General Merchandise business
 - The UK's 3rd most visited retail website
 - 60% of sales online
 - >1,000 points of presence
- Strong, fast-growing online clothing offers
 - George and Tu



A stronger business

More opportunities within a larger group



Two great teams

- Dual-brand grocery strategy
- Opportunities for colleagues at all levels
- Run by the best leaders from both businesses
- Asda run from Leeds with own CEO



One set of shared values

- Built on similar values and heritage
- One of the largest employers in the UK and a major contributor to the British economy
- Stronger combination gives greater security to pension holders

Great opportunity for suppliers

Platform for growth

- Opportunity for suppliers to grow with us
- More streamlined supply chains
- Differentiated products
- Protecting choice



£500m net synergies post investment in the customer offer

£350m

Buying benefits

Harmonised buying terms



£75m

Property¹

Argos in Asda stores



£75m

Operational efficiencies

Costs and GNFR savings



Potential for further synergies - unquantified at this time

- Cross-selling within the Combined business
- Leveraging fixed assets, investments and capabilities
- Benefits from strategic partnership with Walmart

¹ There are no planned Sainsbury's or Asda store closures as a result of the combination

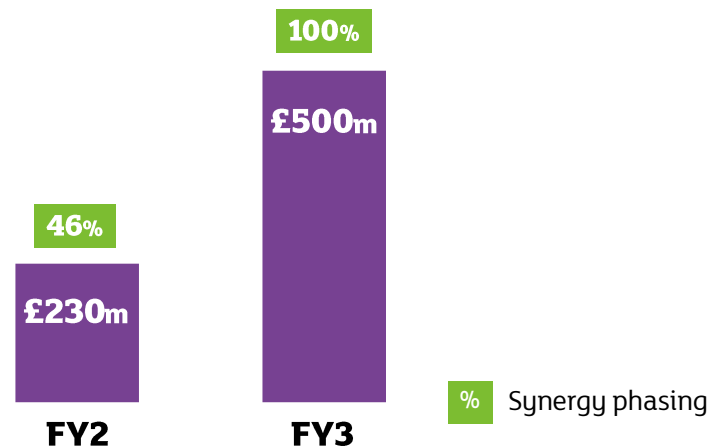
£500m of net synergies

Sainsbury's and Walmart have proven track records of synergy delivery

Overview of synergies

- £500m EBITDA synergies in the second full financial year post completion¹
- £150m opex implementation costs
- £600m capex implementation costs
 - System migration²
 - Argos in Asda stores
- Phasing assumes completion in H2 calendar year 2019

Phasing of synergies¹

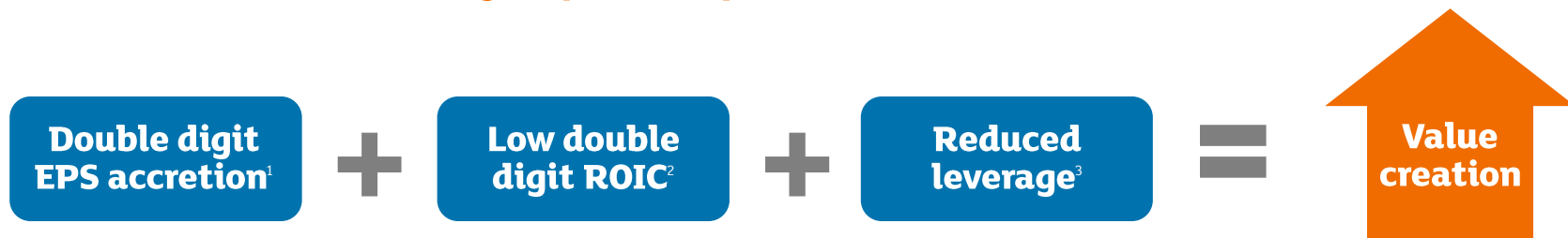


¹ FY1 is expected to be a part year, based on an anticipated completion date in H2 calendar year 2019

² Depreciation resulting from this system investment will be offset by opex savings when charges for access to Walmart systems cease at the end of the transitional period

Delivering significant value creation for shareholders . . .

In the second full financial year post-completion:



1 EPS excluding the effects of implementation costs

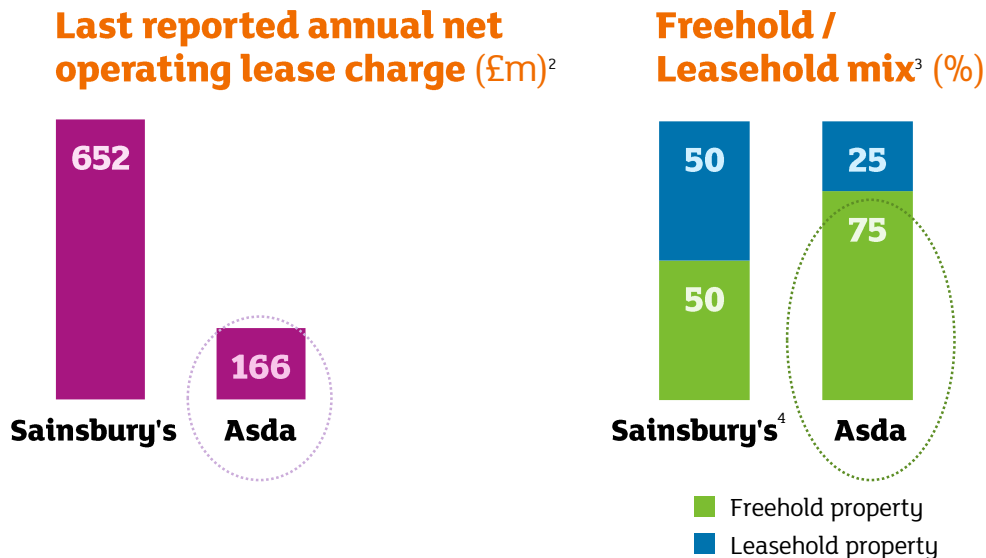
2 ROIC calculated as acquired post-tax EBIT plus post-tax synergies divided by purchase price plus synergy implementation costs

3 As measured by lease adjusted net debt / EBITDAR

With a strengthened balance sheet and strong cash generation

Investment grade credit profile on completion

- Asda's structurally lower leverage
 - Predominantly freehold property mix
 - Debt-free, cash-free, pension-free¹
- Walmart to retain Asda defined benefit pension scheme
- Lower lease adjusted net debt / EBITDAR
- Significantly cash generative Combined business



¹ Subject to completion of the Combination, Walmart will retain the Asda defined benefit pension scheme as part of the Combination, along with any ongoing defined benefit pension related obligations. The last IFRS reported liability for defined benefit obligations for Asda Group Limited as at 31 December 2016 was £893.5 million

² Year ended March 2017 for Sainsbury's and year ended 31 December 2016 for Asda

³ As measured by square footage

⁴ Includes Sainsbury's Local and Argos stores

A great deal for everyone

More dynamic, more adaptable, more resilient

CUSTOMERS



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- ✓ Better quality
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- ✓ More flexible ways to shop
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COLLEAGUES



- ✓ Stronger business
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SUPPLIERS



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SHAREHOLDERS



- ✓ Creating value
- ✓ Strong balance sheet
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- ✓ Investment grade credit profile¹

¹ The Combined business is expected to have an investment grade credit profile on completion



A great deal for everyone

Judith McKenna

Walmart overview

\$500 billion
revenues¹

\$258 billion
market capitalisation²

28 countries

65 banners

c. 11,700 retail units

c. 270m customers served
every week



¹ Per the annual financial statements of Walmart Inc. for the year ended 31 January 2018

² As at 27 April 2018

Role of Asda/Sainsbury's in Walmart's International Portfolio

Combination unlocks value for customers and shareholders

Walmart International strategy

- Being deliberate and thoughtful about the portfolio
- Transforming the business and making bold moves to do so
- Building innovative partnerships to deliver scale and capabilities
- Developing strong, agile and locally relevant businesses



Partnership objectives

- Shared values and cultures
- Commitment to deliver low prices
- Accelerating seamless, omni-channel, and convenience
- Long-term value creation



New dynamic player in the market

- A strong Plc with the backing of Walmart
- A stronger, more resilient and competitive business benefiting from Walmart's global expertise
- A winning combination with the scale and resources to deliver lower prices for customers



Q&A



Appendix 1

Combination of J Sainsbury plc and Asda Group Limited

Overview of the combination

Key terms	• £7.3bn¹ valuation for Asda on a debt-free, cash-free and pension-free² basis – Walmart receives 42% equity³ stake in the Combined business (c.£4.3bn at current Sainsbury's share price¹) – Plus £2.975bn cash – At the time of Completion of the Combination Walmart will not hold more than 29.9% of the voting rights in the Combined business – remaining stake in the form of convertible, non-voting shares with full economic rights • Walmart to retain the Asda defined benefit pension scheme, along with any ongoing defined benefit pension related obligations • Implied FY17 EV/EBITDA of 5.8x⁴
Financing	• The cash element of the consideration will be covered initially by third party bank finance and, in time, replaced with longer term funding
Governance	• Existing Sainsbury's Board members plus: – two non-executive directors for Walmart as long as it holds 25% or more of the issued share capital of Sainsbury's – one non-executive director for Walmart as long as it holds >10% of the issued share capital of Sainsbury's but <25% • Chairman: Sainsbury's Chairman
Management	• Executive management – Sainsbury's Chief Executive Officer – Sainsbury's Chief Financial Officer • Asda would continue to be run from Leeds with its own CEO, who would join the Group Operating Board of the Combined business

1 Based on the Closing Price of Sainsbury's Shares of 269.8 pence on 27 April 2018

2 Subject to completion of the Combination, Walmart will retain the Asda defined benefit pension scheme as part of the Combination, along with any ongoing defined benefit pension related obligations. The last IFRS reported liability for defined benefit obligations for Asda Group Limited as at 31 December 2016 was £893.5 million

3 Calculated based on Sainsbury's issued share capital (excluding shares held in treasury) as at 26 April 2018, the last practicable date prior to announcement

4 Based on Asda's unaudited operating profit for the year ending 31 December 2017 of approximately £720m, after adding back depreciation and amortisation of approximately £449m, and adjusted for c.£80m of charges which, under the structure of the transaction, will not continue post-completion. The Asda Group Limited financial information for the financial year to 31 December 2017 mentioned here are unaudited estimates and subject to change

Overview of the combination (continued)

Conditions		• Subject, amongst other things, to: – Sainsbury's shareholder approval – Approval from the CMA – Approvals in connection with the Asda defined benefit pension scheme – Change in control approval from PRA in relation to Sainsbury's Bank – Financing of cash consideration • The Qatar Investment Authority, Sainsbury's largest shareholder, has confirmed its current intention to support the Combination
Timing		• Expect to fast track to CMA phase 2 review, with completion anticipated in H2 calendar year 2019
Walmart considerations	Overview	• Walmart to be a long-term supportive shareholder of the Combined business • Sainsbury's to have access to Walmart's global buying and IT platforms / know-how
	Lock-up	• First 2 years post-completion – Walmart will be subject to a lock up for its full 42% shareholding subject to customary exceptions • Years 2 to 4 post-completion – Walmart can sell down to a 29.9% shareholding • Year 4 onwards post-completion – No lock up
	Standstill	• Walmart will be subject to a standstill from signing to 2 years after completion – Standstill to fall away if any party makes an announcement in relation to an offer or possible offer for Sainsbury's

Overview of Asda

A leading multi-format, omni-channel business with a strong value heritage

Large scale national business



- c.19m customers per week
- Strong heritage in the North
- Compelling format offering

Strength in general merchandise and clothing



- George – leading clothing retailer by volume
- George Home – significant market share gains

Multi-format, omni-channel offering



- 584 Asda stores complemented by petrol stations and living stores
- Strong online proposition

Food sourcing strength through IPL



- International Procurement & Logistics – upstream capabilities in Fresh
- Broad sourcing network

Talented colleagues



- Strong purpose, culture & values
- Talented management team with global experience
- Highly talented & engaged colleagues

EDLP / EDLC¹ heritage



- Culture of productivity to lower prices for customers
- Compelling Private brand offer to support value credentials

Walmart support



- Global sourcing leverage
- Access to technological developments across stores and ecommerce

¹ Every Day Low Prices / Every Day Low Cost

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Appendix 2

Preliminary Results 2017/18

Guidance for 2018/19

Space

- Expect to open two new Sainsbury's supermarkets and around 15 convenience stores
- Expects to open around 90 Argos stores in supermarkets (of which around 50 are relocations) resulting in around 280 Argos stores in supermarkets
- Expect to close remaining Argos stores within Homebase in 2018/19

Profit

- Underlying profit expectation for FY 18/19 in line with current market consensus¹

Depreciation and amortisation

- We expect depreciation and amortisation of around £700m

Synergies

UPBT impacts

- Incremental EBITDA synergies of £73m (EBIT £60m) will be realised in 2018/19

One-off costs

- Around £30m of integration costs expected in 2018/19

Integration capex

- Around £40m of integration capex expected in 2018/19

Sainsbury's Bank

- Expect underlying profit of around £30m in 2018/19
- Transition costs expected to be c.£55m
- Capital injections into the Bank are expected to be £110 million in 2018/19. This is to cover card and loan platforms, regulatory capital and growth in loan, card and mortgage balances
- Capital injections into the Bank from 2019/20 onwards to average £100m per year

¹ 2018/19 UPBT consensus estimate of £629m, as published on 5 March 2018 on www.j-sainsbury.co.uk/investors/analyst-consensus

Guidance for 2018/19

One-off items

Sainsbury's Bank

- Transition costs expected to be c.£55m

Argos

- Integration costs expected to be £30m

Costs

Operating costs inflation

- Cost inflation around 3%

Cost savings

- Efficiency savings of around £200m
- Robust plan in place to deliver at least £500m cost saving target by 2020/2021

Finance costs

- Expect net finance costs of around £100 million in 2018/19 following final repayment of the secured loan due 2018

Dividend

- Fixed at 2.0x cover by underlying earnings in 2018/19

Capital expenditure

- Core retail capex expected to be around £550m, excluding Sainsbury's Bank capex and Argos integration capex
- Argos integration capex expected to be around £40m
- Capital injections into the Bank are expected to be £110 million in 2018/19. This is to cover card and loan platforms, regulatory capital and growth in loan, card and mortgage balances
- Capital injections into the Bank from 2019/20 onwards to average £100m per year
- Core retail capital expenditure is expected to remain around £550m p.a. over the medium term

Net debt

- Net debt expected to reduce by c. £100m
- Net debt reduction over the medium term
- Adj. net debt to EBITDAR (including perpetuals as debt) of below 3x in the medium term
- Fixed charge cover of over 3x in the medium term

Tax rate

- Underlying tax rate to be between 23%-24%

Sainsbury's sales area and store numbers

As at 10 March 2018

Supermarkets

	Area (‘000 sq ft)	Number
Opening figures 2017/18	21,512	605
New stores	80	3
Closures	-	-
Replacement stores	-	-
Extensions	33	1
Refurbishments / downsizes	(329)	333
Closing figures 2017/18	21,296	608

Convenience¹

	Area (‘000 sq ft)	Number
Opening figures 2017/18	1,885	806
New stores ²	59	24
Closures ³	(32)	(15)
Replacement stores	-	-
Extensions	1	1
Refurbishments / downsizes	-	25
Closing figures 2017/18	1,913	815

Total¹

	Area (‘000 sq ft)	Number
Opening figures 2017/18	23,397	1,411
New stores ²	139	27
Closures ³	(32)	(15)
Replacement stores	-	-
Extensions	34	2
Refurbishments / downsizes	(329)	358
Closing figures 2017/18	23,209	1,423

1 Convenience sales area and store numbers include nine franchise stores

2 Convenience store openings include two franchise stores

3 Convenience store closures include nine franchise stores

4 All 25 convenience adjustments were refurbishments

Store estate

As at 10 March 2018

Number of stores

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	814	1	-	-	-	815
Supermarkets	44	125	198	172	69	608
Total stores	858	126	198	172	69	1,423

Space by store size ('000 sq ft)

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	1,901	11	-	-	-	1,913
Supermarkets	339	1,896	5,809	8,394	4,858	21,296
Total stores	2,240	1,907	5,809	8,394	4,858	23,209

Argos and Habitat store numbers

	As at 11 March 2017	New stores	Disposals/ closures	As at 10 March 2018
Argos stores ¹	715	1	(77)	639
Argos in Sainsbury's ¹	39	152	-	191
Argos in Homebase	57	-	(43)	14
Other ²	2	-	(2)	-
Argos total store numbers	813			844
Habitat ³	8	8	-	16
Collection points ⁴	37	194	(39)	192
Total Argos and Habitat				1,052

1 Two Argos store openings have been reclassified as Argos stores in Sainsbury's to reflect their utilisation of the Sainsbury's store portfolio

2 Refers to two temporary Argos stores

3 Three Habitat stores, one Habitat store in Argos, 11 Habitat stores in Sainsbury's and one mini Habitat showroom

4 All collection points are in Sainsbury's stores

Sainsbury's investment programme

2017/18

Supermarkets

New stores		Refurbishments		Refurbishments continued		Extension	
Liverpool - Great Homer St.	Q1	Newton Abbot	Q1	Street	Q3	Redhill	Q3
Cambridge Eddington Avenue	Q2	Lee Green	Q1	Coreys Mill	Q3		
Hornsey	Q4	Burton On Trent	Q1	Sittingbourne	Q3	Closure	
		Leamington	Q2	Willesden Green	Q3	Redhill – Temporary Store	Q3
		Lords Hill	Q2	Oxford	Q3		
		Stevenage	Q2	Eltham	Q3		
		Dundee	Q2	West Hove	Q3		
		Clapham	Q2	Chester	Q3		
		Chislehurst	Q2	Uxbridge	Q3		
		Golders Green	Q2	Guisborough	Q3		
		West Belfast	Q3	Pimlico	Q3		
		Brentwood	Q3	Walthamstow	Q4		
		Middlesbrough	Q3	Peterborough	Q4		
		Warwick	Q3	Woodhall Farm	Q4		
		Castle Vale	Q3				
		continued					

Sainsbury's investment programme

2017/18

Convenience

New stores

Glasgow - Novar Drive	Q1
Hither Green Station	Q1
Glasgow - Gordon Street	Q1
Leyton Midland Road Station	Q1
Woolwich Arsenal	Q1
North Acton Station	Q1
Brixham - New Road	Q1
Preston - Tag Lane	Q1
Northolt - Mandeville Road	Q1
Acton - Palmerston Road	Q1
West Bridgford - Melton Road	Q1
Matrix Buckshaw Village Local ¹	Q2
Lambeth North Station	Q2
Cublington - Rugby Road	Q2
Oxford - St Aldates Road	Q2
Yateley - Harpdon Parade	Q2
Leighton Buzzard - Billington Rd	Q2
Blackburn - Preston Way ¹	Q2

New stores continued

Kingston - Penrhyn Road	Q3
Chelmsford - White Hart Line	Q3
Newham - Royal Wharf	Q3
Biggleswade - Kings Reach	Q3
Newcastle - Chillingham Road	Q4
Shepperton - High Street	Q4

Refurbishments

Marlow	Q1
Birmingham, Colemore Row	Q1
Nottingham - Carlton Street	Q1
Liverpool nations house	Q1
Manchester, Overseas House	Q1
Welholme Rd	Q1
Coten End Local	Q3
Cheltenham - Bath Road	Q3
	continued

Refurbishments continued

Leeds - Brewery Wharf	Q3
Bethnal Green Local	Q3
Honor Oak Park Station Local	Q3
Leeds - Boar Lane	Q3
Bridge Street Local	Q3
Ings	Q3
Richmond upon Thames	Q3
Richmond Station Local	Q3
London - Haydons Road Local	Q3
Hackney - Mare Street	Q3
Wandsworth - Old York Road	Q3
Hyde Park	Q3
Bristol - Gloucester Road	Q4
Borough High Street	Q4
Canterbury - St Dunstan's St	Q4
South Ealing	Q4
Essex Road	Q4
North Walsham	Q4

Extension

Paddington Station	Q1
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Closures

Hall Road	Q1
Lenton Boulevard	Q1
Gt Horton Rd	Q1
Glasgow - West George Street	Q2
Beehive Haslingden Road Local ¹	Q4
Heathrow North Local ¹	Q4
Blackford Bridge Local ¹	Q4
Calder Park Local ¹	Q4
Holtspur Oxford Road Local ¹	Q4
Hexham Rotary Way Local ¹	Q4
Mill Farm Local ¹	Q4
Glebe Centre	Q4
Truro Court	Q4
Matrix Buckshaw Village Local ¹	Q4
Blackburn - Preston Way ¹	Q4

¹ Franchise store

Group performance overview

As of 10 March 2018

£m	2017/18	2016/17	Change
Underlying results			
Group sales ¹ (inc VAT)	31,735	29,112	▲ 9%
Retail operating profit ²	625	626	▼ 0%
Financial Services operating profit ³	69	62	▲ 11%
Profit before tax ⁴	589	581	▲ 1%
Underlying basic EPS ⁵	20.4p	21.8p	▼ 6%
Dividend per share	10.2p	10.2p	
Statutory results			
Items excluded from underlying results	(180)	(78)	
Profit before tax	409	503	

1 **Underlying Group Sales (ex VAT):** £28,453m (2016/17: £26,231m)

2 **Underlying Retail operating profit:** Underlying earnings before interest, tax, Financial Services operating profit and Sainsbury's underlying share of post-tax profit from JVs

3 **Underlying Financial Services operating profit:** Underlying profit before tax, 12 months to 28 February 2018

4 **Underlying profit before tax:** Profit or loss before tax, before any items recognised which, by virtue of their size or nature, do not reflect the Group's underlying performance

5 **Underlying basic earnings per share:** Underlying profit attributable to ordinary shareholders, net of attributable taxation, divided by the weighted average number of ordinary shares in issue during the period, excluding those held by the ESOP trusts which are treated as cancelled

Retail margin

£m	2017/18	2016/17	Change
Retail sales (inc VAT, inc fuel)	31,220	28,705	▲ 9%
(ex VAT, inc fuel)	27,938	25,824	▲ 8%
Retail underlying EBITDAR	2,078	1,912	▲ 9%
Retail underlying EBITDAR margin %	7.44	7.40	▲ 4bps
at constant fuel prices	7.48	7.40	▲ 8bps
Retail underlying operating profit	625	626	▶ 0%
Retail underlying operating margin %	2.24	2.42	▼ (18)bps
at constant fuel prices	2.25	2.42	▼ (17)bps

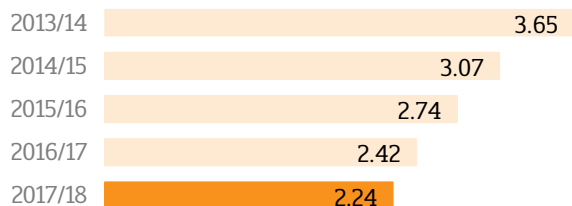
Retail

Margins and returns

Retail underlying EBITDAR margin %¹



Retail underlying operating margin %¹



Return on capital employed %^{2,3}



Pension adjusted return on capital employed %^{2,3}



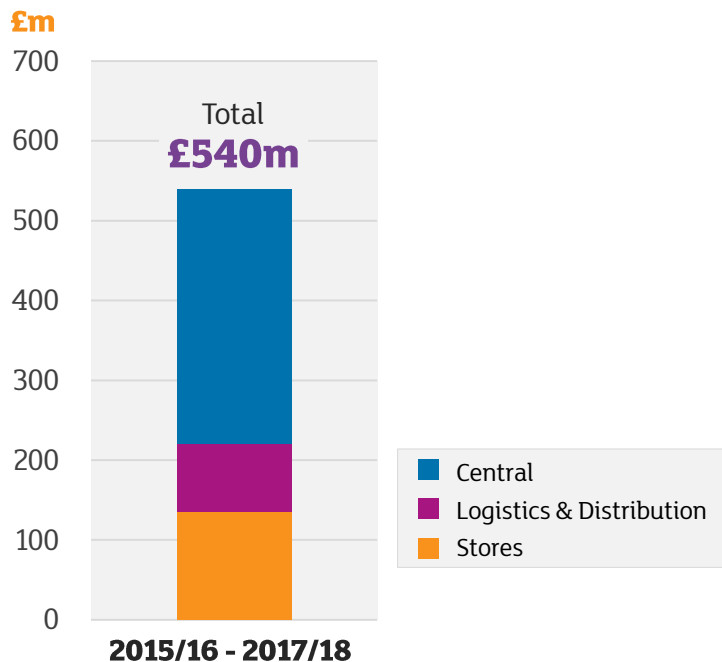
1 Not fuel adjusted

2 52 weeks rolling earnings before interest and tax divided by average equity and net debt

3 Based on a 14 point average, with comparatives restated. The 14 point period average includes the opening capital employed as at 12 March 2017 and the closing capital employed for each of the 13 individual four week periods to 10 March 2018

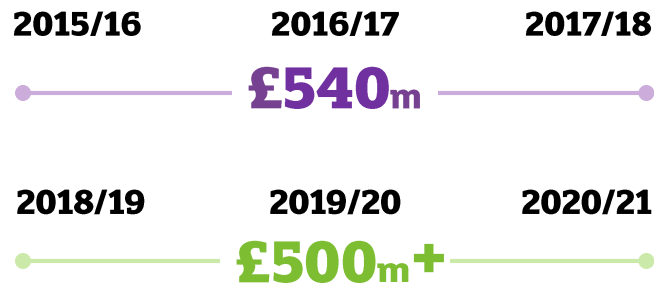
Cost base reduction

£1 billion over 6 years



2018/19 FY Guidance

- Efficiency savings of £200m
- Robust plan in place to deliver at least £500m cost saving target by 2020/21



Sainsbury's cost savings

£185m of cost savings delivered

£m	2017/18	2016/17	2015/16
Store operating model	56	21	58
Logistics and Distribution	29	35	22
Central operating model	100	74	145
	185	130	225

Synergies

Phasing of synergies, exceptional costs and exceptional capex

£m	2016/17	2017/18	2018/19e	Total
Synergies EBITDA (incremental YoY)	7	80	73	160
Synergies EBIT (incremental YoY)	6	76	60	142
Exceptional costs	(27)	(75)	(28)	(130)
Exceptional capex	(18)	(80)	(42)	(140)

- Argos one-off exceptional costs will be reported outside of underlying results

Synergies

£160m of synergies

c. **£75m**

Synergies from
Argos stores in
Sainsbury's
supermarkets

- c.250 Argos digital stores in supermarkets by end of FY19
- Cross-selling opportunities across portfolio
- Extending the Argos Click & Collect offer

c. **£75m**

Cost synergies
from central
& support

- Removing duplication from central and support functions
- Product purchasing benefits
- Goods not for resale buying benefits

c. **£10m**

Other revenue
synergies

- TU clothing via Argos channels
- Homeware and seasonal
- Growing Habitat

Items excluded from underlying results

£m	2017/18	2016/17
Property related		
Profit on disposal of properties	5	98
Investment property fair value movements	7	(25)
Net impairment and onerous contract charge	-	(37)
Argos integration		
Transaction costs relating to the acquisition of Home Retail Group	-	(22)
Argos integration costs	(75)	(27)
Homebase separation	(10)	(4)
Sainsbury's Bank transition	(38)	(60)
Nectar		
Transaction costs relating to the acquisition of Nectar UK	(2)	-
Revaluation of previously held equity interest in Insight 2 Communication LLP	4	-
Divestments/Write offs	-	15
Restructuring costs	(85)	(33)
Other	14	17
Items excluded from underlying results	(180)	(78)

2018/19 FY Guidance

Sainsbury's Bank

- Transition costs expected to be c.£55m

Argos

- Integration costs expected to be around £30m

Sainsbury's Bank

Investing and delivering our infrastructure

Delivered



- Flexible core platform
- Savings and ATMs
- Insurance platform
- New loans platform
- Mortgage offer
- New website
- Contact Centre

Cards



Bank and Argos to share the same cards operating platform by Summer 2018

- Investment in new systems more complex and expensive than anticipated
- Modern scalable platforms give greater flexibility and responsiveness

Sainsbury's Bank

Diversified income streams, structural advantages, scale potential

	Aim		Target
Fee income	▶	Low risk, low capital intensity business which is great for our customers	• Maintaining strong contribution
Efficiency	▲	Leverage modern platform to build scale and improve operational efficiency	• Long term cost:income target c.50% from current 70%
Customer numbers	▲	Sainsbury's customers are lower risk and acquisition costs are low. AFS drives Argos sales and generates financial income	• Targeting Sainsbury's customers through data, digital and propositions • Higher AFS penetration of Argos sales
Asset mix	▲▲	Adding secured lending lowers overall risk levels	• c.60% secured lending long term vs current 5%
Volatility	▼	Strategy yields lower earnings volatility in stress	• Lower volatility

Retail free cash flow

Increased free cash flow

£m	2017/18	2016/17 ⁵
Adjusted operating cash flow before changes in working capital ¹	1,214	1,179
Decrease in working capital	196	61
Cash generated from operations	1,410	1,240
Pension contribution ²	(151)	(112)
Net interest paid ³	(105)	(108)
Corporation tax paid	(72)	(87)
Net cash generated from operating activities	1,082	933
Cash capital expenditure before strategic capex ⁴	(542)	(588)
Proceeds from disposal of property, plant and equipment	54	55
Bank capital injections	(190)	(130)
Dividends and distributions received from JVs, net of capital injections	28	49
Free cash flow	432	319

1 Adjusted operating cash flow before changes in working capital and pension contributions

2 Annual recovery payments made to defined benefit pension schemes before exceptional contributions

3 Interest paid net of interest received, interest elements of obligations under finance lease payments and dividends paid on perpetual securities

4 Excludes purchase of Chiswick freehold and Argos integration capital expenditure

5 2016/17 retail free cash flow restated to reflect capital injections made to Sainsbury's Bank and dividends and distributions received from JVs, net of capital injections

Retail investing and financing activities

Reduction in net debt of over £100m

£m	2017/18	2016/17
Use of free cash flow		
Free cash flow	432	319
Dividends paid on Ordinary Shares	(212)	(230)
Exceptional pension contributions	-	(199)
Strategic capex	(80)	(92)
Acquisition of subsidiaries	135	457
Repayment of borrowings including finance leases	(174)	(211)
Other	(2)	6
Net increase in cash and cash equivalents	99	50
Decrease in borrowings including finance leases	174	211
Acquisition movements	(15)	39
Fair value, other non-cash and net interest ¹	(145)	49
Movement in net debt	113	349
Opening net debt	(1,477)	(1,826)
Closing net debt	(1,364)	(1,477)
Closing net debt including hybrid securities as debt	(1,858)	(1,971)

1 Net interest excluding dividends paid on perpetual securities

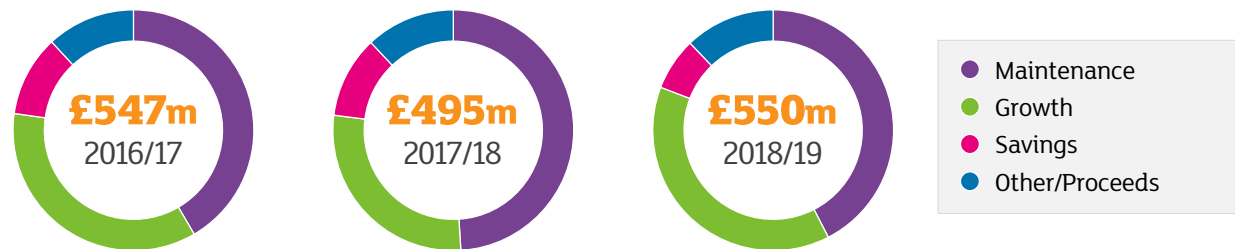
Retail capital expenditure

Reduction in core retail capex (including Argos)

£m	2017/18	2016/17
Core retail capital expenditure ¹	495	547
Acquisition of freehold and trading properties	-	74
Argos integration capex	80	18
Retail capital expenditure	575	639

1 The 2016/17 balance includes £(4)m debtor / creditor movements and 2017/18 includes £(8)m debtor / creditor movements

Core retail capital expenditure



2018/19 FY Guidance

- Core retail capex expected to be around £550m, excluding Sainsbury's Bank capex and Argos integration capex
- Argos integration capex expected to be around £40m
- Capital injections into the Bank are expected to be £110 million in 2018/19. This is to cover card and loan platforms, regulatory capital and growth in loan, card and mortgage balances
- Core retail capital expenditure is expected to remain around £550m p.a. over the medium term

Underlying finance costs and tax rate

Including perpetual securities coupon¹

£m	2017/18	2016/17
Net finance costs	(119)	(119)
Net interest cover	5.9x	5.9x
Fixed charge cover	2.5x	2.6x

Excluding perpetual securities coupon¹

£m	2017/18	2016/17
Net finance costs	(96)	(96)
Net interest cover	7.4x	7.3x
Fixed charge cover	2.6x	2.7x
Underlying tax rate	24.1%	23.2%

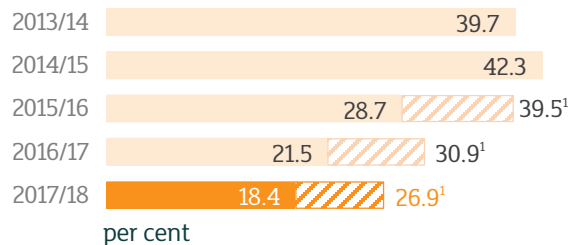
¹ Underlying finance costs and ratios are stated inclusive of the perpetual securities coupons of £23m.

Balance sheet

Balance sheet continues to be robust

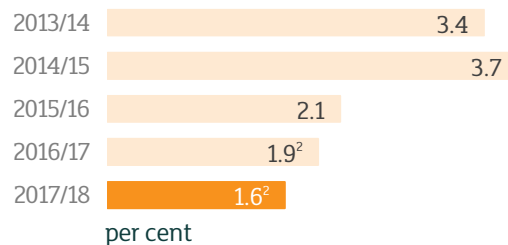
Balance sheet gearing

(Net debt / total equity)



Core retail capex/sales

(Core retail capex / sales inc fuel inc VAT)



¹ For statutory purposes the perpetual securities will be accounted for as equity and the coupons will be treated as dividends

Accounting for the perpetual securities as equity, gearing is 18.4% (2016/17: 21.5%, 2015/16: 28.7%). Treating the perpetual securities as debt, gearing is 26.9% (2016/17: 30.9%, 2015/16: 39.5%)

² 2016/17 onwards includes Argos core retail capex

Balance sheet

Pensions

- Combined Sainsbury's and HRG pension scheme IAS 19 pension deficit¹ £261m (March 2017: £850m)
- Decrease since March 2017 reflects
 - Rise in the discount rate since year-end from 2.70% to 2.80%
 - Updated future mortality assumptions
- Next triennial valuations in March 2018, with outcome expected in 2019

¹ Net of deferred tax

Our strategy



①

Further enhance our
**differentiated
food proposition**

②

Grow
**General Merchandise
and Clothing** and
deliver synergies

③

Diversify
and grow
Sainsbury's Bank

④

Continue
cost savings and
**maintain balance
sheet strength**

Serving new food and grocery missions

Catering for changing shopping habits

- 128 range reviews across the year, covering 60% of food sales
- Specialist food offers
 - Sushi counters in 57 supermarkets and products in 2 convenience stores
 - Patisserie Valerie - 31 counters and click & collect in 44 stores
 - Crussh concession in 2 supermarkets and products in 2 convenience stores
- Concessions
 - Expanded existing partners – EE and Explore Learning
 - New offers – Specsavers and SoMe



Convenience sales growth nearly 8%

- Market outperformance vs IGD and Nielsen
- Convenience sales of around £2.7bn
- Ranging and merchandising activity covering 70% of convenience sales

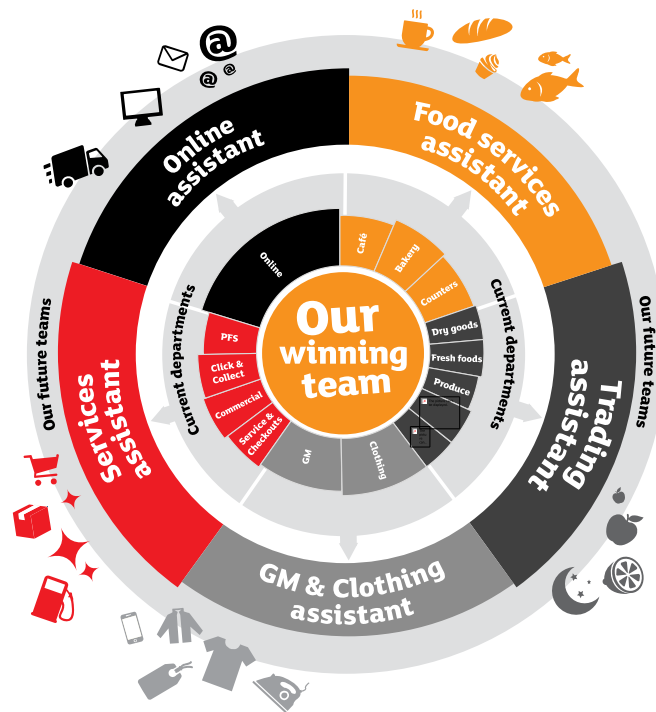
Online sales growth nearly 7%

- 15% improvement in pick-rate
- Same day delivery in 102 stores (c.40% population)
- Chop Chop 1 hour delivery trial extended to 7 stores covering Zones 1 & 2

Colleagues making the difference

Changing the in-store operating model

- Simplifying how we run our stores
- Investing in technology
- Colleagues working flexibly
- Rewarding colleagues fairly



①
Further
enhance our
**differentiated
food
proposition**

Winning: General Merchandise and Clothing

Strong growth, continued market outperformance^{1,2}

Clothing

- Investment in ranges and new brands
 - Menswear now c. 15% of sales
 - Tu Premium and Tu Formal launches
- New format trial
 - Equipment, signage and visual merchandising



General Merchandise

- Jointly planning ranges across Sainsbury's and Argos
- Investing to improve availability;
 - Regional Fulfilment Centres
 - Improved demand forecasting
 - Trial of daily deliveries into Argos from Sainsbury's DCs

1 BRC non-food non-clothing market, 52 weeks to 10th March 2018

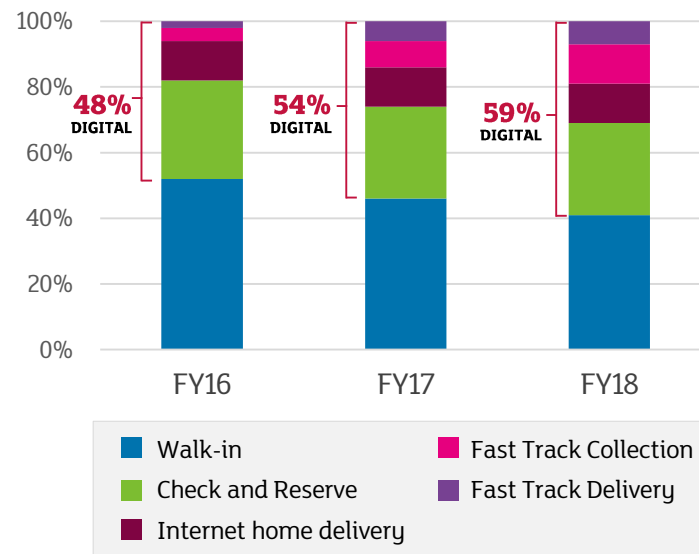
2 Kantar worldpanel, 52 weeks ending 18 March 2018

Building the future of tech-driven retail

Customer shopping habits are changing

	At acquisition	Q4 17/18
Argos stores	726	-87 → 639
Argos in Sainsbury's	13	+178 → 191
o/w replacements	0	+66 → 66
Argos in Homebase	97	-83 → 14
Total Argos stores	836	+8 → 844
Collection points	3	+189 → 192
Total Argos points of presence	839	+197 → 1,036
Habitat	4	+12 → 16

Argos channel shift towards online



Good Bank progress

Diversification and growth

Mortgages

- Distribution network widening, building scale
- £278m lending to date, average LTV 55%

Unsecured lending

- 11% growth in new accounts year on year
- New loans platform successfully launched

Fee income

- Travel money transactions up 26%
- ATM estate grew by over 5%
 - 36 new ATMs in high footfall Argos stores
- Car and Home new insurance policies up 42% and 39%
 - Following move to multi-panel provider

The role of Nectar

30% cheaper
cost to acquire new Bank customers

75% of Bank customers

80% of insurance customers
linked to a Nectar card

Customers are around
50% less likely
to default

③

Diversify and
grow
**Sainsbury's
Bank**



Values

Our values make us different

Sourcing with integrity

We celebrated 10 years of the Sainsbury's Dairy Development Group – we've worked with over 260 farmers and achieved higher milk yields, improved animal welfare, and a price guarantee

Respect for our environment

35% reduction in packaging since 2005

A great place to work

We were awarded Disability Confident Leader status by Department for Work and Pensions for our work on disability and inclusivity – we're the largest retailer in the UK to achieve this status

Making a positive difference to our communities

Over £30m generated for charities, communities and good causes

Living healthier lives

33,350 schools and clubs took part in our Active Kids scheme in 2017/18

Plc Board



David Tyler
Chairman



Mike Coupe
Chief Executive Officer



Kevin O'Byrne
Chief Financial Officer



John Rogers
Chief Executive Officer of
Sainsbury's Argos



Dame Susan Rice
Senior Independent Director



Jean Tomlin
Non-Executive Director



David Keens
Non-Executive Director



Matt Brittin
Non-Executive Director



Brian Cassin
Non-Executive Director



Jo Harlow
Non-Executive Director

Plc Board

David Tyler (65)

Chairman

Date of appointment: 1 October 2009

David has served as a Non-Executive Director since 1 October 2009 and as Chairman since November 2009.

Committee membership

Chair of the Nomination Committee

Skills and experience

David has broad and extensive experience in both executive and non-executive roles across the consumer, retail, business services and the financial services sectors. He is also an experienced chairman having served in that role previously at Logica plc and 3i Quoted Private Equity plc. His last executive position was as Finance Director of GUS plc, and previously he held senior financial and general management roles with Christie's International Plc, County NatWest Limited and Unilever PLC. He has also been a Non-Executive Director of Burberry Group Plc, Experian plc and Reckitt Benckiser Group plc.

Other current roles

Chairman of Hammerson plc and Chairman of Domestic and General Group Limited.

Mike Coupe (57)

Group Chief Executive Officer

Date of appointment: 1 August 2007

Mike has served as an Executive Director since 1 August 2007 and as Chief Executive Officer since 9 July 2014

Committee membership

Corporate Responsibility and Sustainability Committee

Skills and experience

Appointed Chief Executive Officer on 9 July 2014, Mike has been a member of the Operating Board since October 2004. Mike has vast retail industry experience in trading, strategy, marketing, digital and online as well as multi-site store experience. He joined Sainsbury's from Big Food Group where he was a board director of Big Food Group plc and Managing Director of Iceland Food Stores. He previously worked for both ASDA and Tesco, where he served in a variety of senior management roles.

Other current roles

Non-Executive Director of Greene King plc.

Kevin O'Byrne (53)

Chief Financial Officer

Date of appointment: 9 January 2017

Skills and experience

Kevin brings to the Board a wealth of retail and finance experience. Kevin was previously Chief Executive Officer of Poundland Group until December 2016 and held executive roles at Kingfisher plc from 2008 to 2015, including Chief Executive Officer of B&Q UK & Ireland and Group Finance Director. He was previously Group Finance Director of Dixons Retail plc and European Finance Director of Quaker Oats. He was a Non-Executive Director and Chairman of the Audit Committee of Land Securities Group PLC from 2008 to September 2017.

John Rogers (49)

Chief Executive Officer of Sainsbury's Argos

Date of appointment: 19 July 2010

John served as Chief Financial Officer of J Sainsbury plc from 19 July 2010 until 5 September 2016 when he was appointed as Chief Executive Officer of Sainsbury's Argos.

Skills and experience

John has extensive experience in finance, strategy, digital, online, property and financial services. As Chief Financial Officer of J Sainsbury plc for six years, John had responsibility for finance, group strategy, Sainsbury's online, business development, property, procurement and operational efficiency. He also held various senior management roles in the Company between 2005 and 2010. John is a member of the Sainsbury's Bank plc Board. Prior to Sainsbury's, he was Group Finance Director for Hanover Acceptances, a diversified corporation with wholly-owned subsidiaries in the food manufacturing, real estate and agri-business sectors.

Other current roles

Non-Executive Director of Travis Perkins plc.

Plc Board

Dame Susan Rice (72)
Senior Independent Director

Date of appointment: 1 June 2013

Committee membership
Chair of the Remuneration Committee and a member of the Nomination Committee.

Skills and experience
Susan has extensive experience as a Non-Executive Director, as well as in retail banking, financial services, leadership and sustainability. Her career in retail banking is particularly relevant to our ownership of Sainsbury's Bank. Previously, Susan was a member of the First Minister's Council of Economic Advisors, Managing Director of Lloyds Banking Group Scotland and was previously Chief Executive and then Chairman of Lloyds TSB Scotland plc. She has also held a range of other non-executive directorships including at the Bank of England and SSE plc.

Other current roles
Chair of Scottish Water and Business Stream; Chair of the Scottish Fiscal Commission ; Non-Executive Director of the North American Income Trust and C. Hoare and Co.

Jean Tomlin (63)
Non-Executive Director

Date of appointment: 1 January 2013

Committee membership
Chair of the Corporate Responsibility and Sustainability Committee (Chair until May 2018) and a member of the Audit Committee and Nomination Committee.

Skills and experience
Jean has extensive experience and breadth of skills in human resources and corporate responsibility. Jean was formerly Director of HR, Workforce and Accreditation for The London Organising Committee of the Olympic and Paralympic Games, where she set the strategic direction to ensure the mobilisation of the combined 200,000 - strong workforce including paid staff, volunteers and contractors, which represented the recruitment and mobilisation of the largest peacetime workforce and set the industry standard for volunteering with the highly acclaimed Games Makers. She was previously Group HR Director at Marks and Spencer Group Plc, HR Director and founder member of Egg plc and Sales & Operations Director of Prudential Direct.

Other current roles
Independent Board member of Michael Kors Holdings Limited; a Trustee of Step Up To Serve and Lay Council Member at Loughborough University

David Keens (64)
Non-Executive Director

Date of appointment: 29 April 2015

Committee membership
Chair of the Audit Committee and a member of the Nomination Committee

Skills and experience
David has extensive retail experience and knowledge of consumer facing businesses, together with his core skills in finance. David was formerly Group Finance Director of NEXT plc from 1991 to 2015 and their Group Treasurer from 1986 to 1991. Previous management experience includes nine years in the UK and overseas operations of multinational food manufacturer Nabisco and, prior to that, seven years in the accountancy profession.

Other current roles
Non-Executive Director and the Senior Independent Director of Auto Trader Group plc and Chair of its Audit Committee.

Matt Brittin (49)
Non-Executive Director

Date of appointment: 27 January 2011

Committee membership
Remuneration Committee and Nomination Committee

Skills and experience
Matt has extensive experience of running a high profile, fast moving, innovative, digital business. Since 2015, he has been responsible for Google's business and operations in Europe, the Middle East and Africa and he's been in leadership roles at Google since 2007. Prior to that, Matt spent much of his career in media and marketing, with particular interests in strategy, commercial development and sales performance. This included commercial and digital leadership roles in UK media.

Other current roles
Google's President – Europe, Middle East and Africa. Director – The Media Trust.

Plc Board

Brian Cassin (50)

Non-Executive Director

Date of appointment: 1 April 2016

Committee membership

Audit Committee and Nomination Committee

Skills and experience

Brian brings present day experience of running a FTSE40 Group and of big data and analytics – topics of key importance to Sainsbury's. Brian joined Experian as Chief Financial Officer in April 2012, a post he held until his appointment as Chief Executive Officer in July 2014. Prior to this, Brian spent his career in investment banking at Greenhill & Co, where he was Managing Director and Partner, and at Baring Brothers International and the London Stock Exchange, where he held senior roles.

Other current roles

Chief Executive Officer of Experian plc

Jo Harlow (55)

Non-Executive Director

Date of appointment: 11 September 2017

Committee membership

Corporate Responsibility and Sustainability Committee (Chair from May 2018), Remuneration Committee and Nomination Committee

Skills and experience

Jo brings a wealth of experience in consumer-facing businesses and in the telecoms and technology industry, both in the UK and internationally. Jo spent 12 years in a variety of senior management roles with Nokia and Microsoft. Prior to this, she spent eight years at P&G and 11 years at Reebok in senior sales and marketing positions in both Europe and the US.

Other current roles

Non-Executive Director of InterContinental Hotels plc. Non-Executive Director of Halma plc; and Member, Supervisory Board of Ceconomy AG

Life President

Lord Sainsbury of Preston Candover KG

Retirements in 2017/18

Mary Harris retired from the Board on 5 July 2017

Operating Board



Mike Coupe
Chief Executive Officer



Kevin O'Byrne
Chief Financial Officer



John Rogers
Chief Executive Officer of
Sainsbury's Argos



Tim Fallowfield
Company Secretary &
Corporate Services Director



Peter Griffiths, OBE
Chief Executive Officer of
Sainsbury's Bank



Paul Mills-Hicks
Food Commercial Director



Angie Risley
Group HR Director



Phil Jordan
Group Chief Information
Officer



Simon Roberts
Retail and Operations Director

Operating Board

Mike Coupe
Chief Executive Officer
See Appendix page 71

Kevin O'Byrne
Chief Financial Officer
See Appendix page 71

John Rogers
Chief Executive Officer of
Sainsbury's Argos
See Appendix page 71

Tim Fallowfield
Company Secretary & Corporate
Services Director
Date of appointment: September 2004

Skills and experience
Tim joined Sainsbury's in 2001 as Company Secretary and joined the Operating Board in September 2004. In addition to his role as Company Secretary, Tim is responsible for the Corporate Services Division comprising Legal Services, Data Governance, Safety, Shareholder Services, Insurance and Central Security. He chairs the Group Safety Committee and the Data Governance Committee. Tim joined Sainsbury's from Exel plc, the global logistics company, where he was Company Secretary and Head of Legal Services. He began his career at the international law firm Clifford Chance and is a qualified solicitor. Tim is Chairman of the Disability Confident Business Leaders Group which works with Government in shaping the disability employment agenda and in raising awareness of the benefits of employing disabled people.

Peter Griffiths, OBE
CEO of Sainsbury's Bank

Date of appointment: May 2014
Skills and experience
Peter was appointed CEO of Sainsbury's Bank in November 2012 and joined the Operating Board in May 2014. Prior to joining Sainsbury's he was Group Chief Executive of Principality, the largest building society in Wales, growing it from the 13th largest building society in the UK to the 7th, during his decade in charge. He previously worked for NatWest, and was Chief Operating Officer at Morgan Chambers Plc. He is former Chairman of the CBI Wales and the Building Societies Association, and is a Fellow of UWIC and The Chartered Institute of Management. Peter was awarded an OBE in the Queen's Birthday Honours 2010, in recognition of his support for the Financial Services Industry.

Paul Mills-Hicks
Food Commercial Director

Date of appointment: May 2014
Skills and experience
Paul joined the Operating Board in May 2014 as Food Commercial Director having spent over ten years at Sainsbury's. He was closely involved in the formation and execution of the 'Making Sainsbury's Great Again' strategy. Following this he held a variety of roles in commercial, strategy and finance, most recently as Business Unit Director for Grocery. Prior to Sainsbury's, Paul was European Controller at Marks and Spencer Group plc and a Director at UBS Warburg.

Operating Board

Angie Risley
Group HR Director

Date of appointment: **January 2013**

Skills and experience

Angie was appointed Group HR Director and a member of the Operating Board in January 2013 with responsibility for human resources. In September 2017, she stepped down from her position as Non-Executive Director and Chairman of the Remuneration Committee of Serco plc. Angie is a Non-Executive Director and Chairman of the Remuneration Committee of Smith & Nephew plc. She is also a Director of Sainsbury's Bank plc. Angie was most recently Group HR Director at Lloyds Banking Group and prior to this an Executive Director of Whitbread plc with responsibility for HR and Corporate Social Responsibility. She was also a member of the Low Pay Commission for six years.

Phil Jordan
Group Chief Information Officer

Date of appointment: **January 2018**

Skills and experience

Phil joined the Board in January 2018 and brings a wealth of experience both in Digital and Legacy business & systems transformation. Most recently he was Global Chief Information Officer at Telefonica overseeing Digital Transformation and Information Technology and prior to that was Chief Information Officer for Vodafone UK/Ireland. Phil brings a fresh, global perspective on Technology to the Operating Board with the movement from Telecommunications to Retail and into the Sainsbury's Group.

Phil has worked as a Non-Executive Advisor on Technology in the Investment & Retail Banking sector and is a member of many global IT industry advisory boards.

Simon Roberts
Retail and Operations Director

Date of appointment: **July 2017**

Skills and experience

Simon joined Sainsbury's and the Operating Board in July 2017 as Retail & Operations Director. In his previous role he was Executive Vice President of Walgreens Boots Alliance, and President of Boots with responsibility for commercial and retail operations across the UK and Ireland. Prior to Boots, Simon was at Marks and Spencer plc, where he held operational and customer leadership roles across stores, divisions and central operations. Simon is also the Non-Executive Chairman at the Institute of Customer Service.

Supplementary financial details

1. Weighted average number of shares

2017/18: 2,186.2m (2,429.8m diluted)

2016/17: 2,049.0m (2,280.0m diluted)

2. Dividend

	2017/18	2016/17
Interim	3.1p	3.6p
Final	7.1p	6.6p
Total	10.2p	10.2p

The final dividend dates:

	Ordinary shares
Ex-dividend	7 June 2018
Record	8 June 2018
Payment	13 July 2018

3. Financial calendar

Q1 trading statement
(16 weeks to 30 June 2018)

4 July 2018

Interim results
(28 weeks to 22 September 2018)

8 November 2018

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